

revenues.

Secondly, these figures imply a median price-to-sales ratio of nearly three, which isn't classically cheap by any measure. Going through these 100-baggers, you'll find stocks that looked cheap, but more often you find stocks that did not seem cheap *based on past results alone*.

So you must look forward to find 100-baggers. You have to train your mind to look for ideas that could be big, to think about the size of a company now versus what it could be. This doesn't mean you have to have a huge market to address, although that helps. Even a small company can become a 100-bagger by dominating a niche. Polaris was a 100-bagger and makes snowmobiles.

Despite occasional exceptions, you do want to focus on companies that have national or international markets. Far more common than niche companies on the 100-bagger list are companies such as Comcast, Aflac, Dollar General, ADP and Lockheed Martin. These companies came to dominate big spaces, though they all started small.

In 1982, Aflac had just \$585 million in sales. By 2002, by which time it was a 100-bagger, Aflac had sales of \$10.2 billion. Aflac's price-to-sales ratio, by the way, went from about 1.7 to 5.4. So, you had the twin engines:

sales growth and multiple growth. Sales went up roughly 17-fold and the price-to-sales ratio went up roughly 3-fold. In combination, and including reinvested dividends, they worked the stock up a hundredfold. Even if we exclude the dividends, Aflac became a 100-bagger two years later, in 2004.

Another interesting chart to look at concerns how long these stocks took to become 100-baggers. The average time was 26 years. That was also the median. I divided the time-to-100-bagger stats up in 15-year increments and you can see the results.